

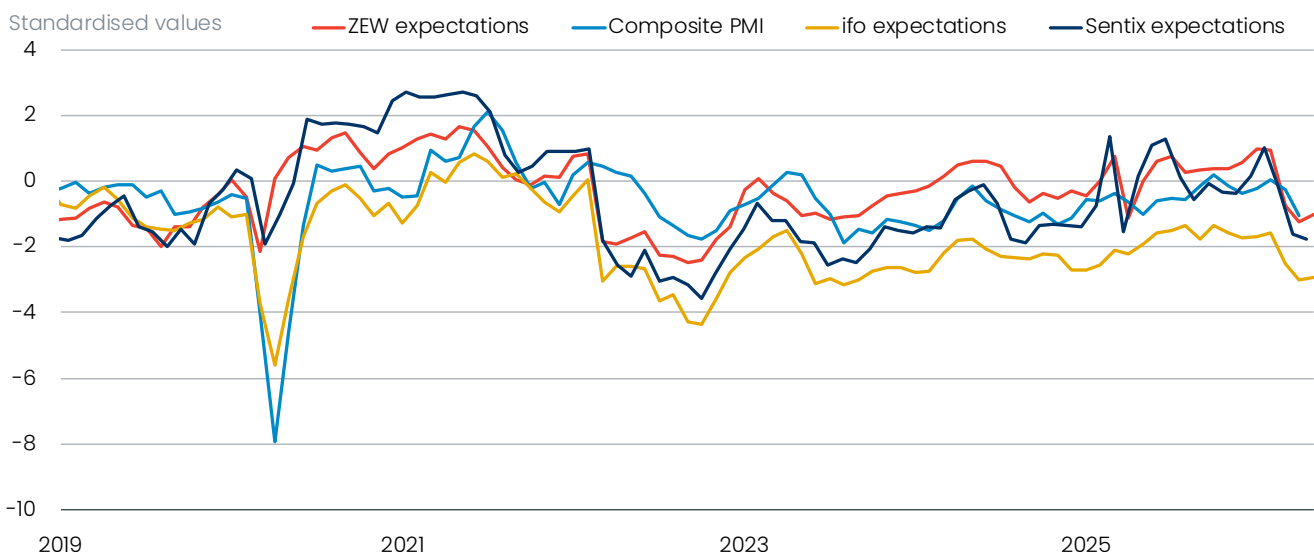
Ifo stabilises but offers no relief for Q2

- Ifo data improved marginally in May albeit from a low base and it was mainly the current component that drove the uptick while expectations remain at gloomy levels. The reading mirrors a recent stabilisation in German sentiment data, but gloomy expectations suggest that hopes of a swift resolution to the Iran war are low. Moreover, improving current conditions likely reflect some order frontrunning and increased competitiveness in some industries amidst a global input price surge.
- German GDP details for Q1 confirmed the flash number at 0.3% q/q. The release masks underlying weakness, as a one-off services export surge flattered the headline, while fiscal support stalled, consumption flatlined, and investment remained soft even before the Iran war shock.
- Taken together today's data provide little encouragement for the German near-term outlook. Underlying growth in the German economy remains weak and ifo data are still downbeat despite the uptick. We maintain our call for a Q2 GDP contraction in Germany and while a lot now hinges on how the Iran peace talks progress, the risks are increasingly to the downside with rising prices and elevated uncertainty choking off growth.

The German ifo rose 0.4pts to 84.9 in May, with current conditions improving to 86.1 from 85.4, while expectations edged up only marginally to 83.8, pointing to caution about a swift resolution to the Iran conflict and continued uncertainty. At the sectoral level, services led the rebound with a sharp recovery in expectations. Manufacturing presented a split picture as current conditions improved but expectations fell further and new orders declined, suggesting any near-term improvement may not be sustained. Overall, services-led stabilisation provides some reassurance, but deteriorating manufacturing expectations and persistent trade weakness keep the broader outlook fragile.

Chart 1: Surveys have stabilised at low levels

Germany: Business sentiment



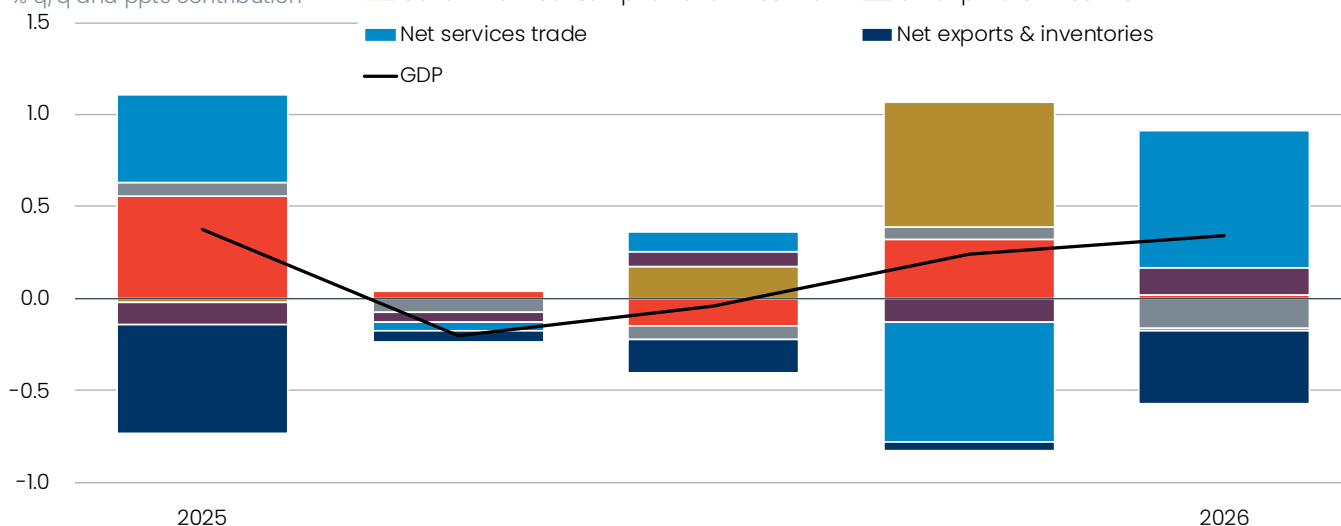
Sources: Oxford Economics, Haver Analytics, S&P Global

German GDP details confirmed the flash estimate, but we think the data support our view that the German economy was headed for soft growth in 2026 even before the Iran war hit. The headline shows a pick-up in growth to 0.3% q/q after an already solid Q4 reading of 0.2%. At face value, that supports the notion that the economy has been gaining momentum as the new government's fiscal plans gain traction. However, a detailed look reveals a different picture. There was a strong initial boost from government investment and consumption in Q4, but zero contribution in Q1. Even accounting for the drag from adverse weather on construction the reading was weak, supporting our view that the government's plans will take time to gain traction. Services exports were a massive swing factor, adding 0.8ppts to quarterly growth and more than reversing Q4's drag, but the driver is difficult to identify and unlikely to repeat. Beyond that, underlying growth looks weak: consumption essentially flatlined in response to the early impact from the Iran war, while private investment outside of weather-hit construction was a modest plus, reversing Q4's fall.

Chart 2: Headline German GDP print masks some underlying weakness

Germany: GDP growth

% q/q and ppts contribution



Sources: Oxford Economics, Haver Analytics

Elsewhere, French Insee May business surveys confirmed the sharp deterioration flagged by [yesterday's PMIs](#), though the picture was marginally less bleak. Services and retail were hardest hit, both falling to their lowest levels since the mid-2010s (excluding the pandemic). Manufacturing was a rare bright spot, ticking up slightly. Overall, the surveys reinforce downside risks to the Q2 GDP stagnation forecast and raise the probability of a technical recession, following Q1's marginal contraction.

Overall, today's data highlight the increased downside risks to our Q2 outlook. Deteriorating sentiment in France confirms our subdued outlook for the economy in Q2 and weak underlying momentum in the German economy paired with still gloomy ifo readings, underscore our call for a Q2 contraction in Germany.